**(10) Provision for Income Taxes and Other Taxes**

Under SFAS No. 109, "Accounting for Income Taxes," deferred tax assets and liabilities are determined based on differences between the financial reporting and tax basis of assets and liabilities, and are measured using enacted tax rates and laws that will be in effect when the differences are expected to reverse.

At December 31, 2005, the Company had a deferred tax asset related to net operating loss carryforwards of approximately $0.6 million. The federal and state net operating loss carryforwards available are subject to limitations on their annual usage. Realization of the deferred tax assets and net operating loss carryforwards is dependent, in part, on generating sufficient taxable income prior to expiration of the loss carryforwards. The amount of the deferred tax asset considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carryforward period are reduced. There is no valuation allowance recorded on this deferred tax asset as the Company believes it is more likely than not that the asset will be utilized.

The Company's income tax expense (benefit) from continuing operations consists of the following:

| | Successor | Predecessor | | |
|---|---|---|---|---|
| | Six Months Ended December 31, 2005 | Six Months Ended June 30, 2005 | Year Ended December 31, 2004 | Year Ended December 31, 2003 |
| | | (in thousands) | | |
| **Current:** | | | | |
| Federal | $ — | $ 7,556 | $ 25,452 | $ 21,645 |
| State | — | 1,067 | 3,670 | 2,882 |
| | — | 8,623 | 29,122 | 24,527 |
| **Deferred:** | | | | |
| Federal | 10,139 | 2,519 | (68,078) | 17,657 |
| State | 1,398 | 354 | (9,569) | 2,324 |
| | 11,537 | 2,873 | (77,647) | 19,981 |
| Total income tax expense (benefit) | $ 11,537 | $ 11,496 | $ (48,525) | $ 44,508 |



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The differences between income taxes computed using the statutory federal income tax rate and that shown in the statement of operations from continuing operations are summarized as follows:

| | Successor | | Predecessor | | | | | |
|---|---|---|---|---|---|---|---|---|
| | Six Months Ended | | Six Months Ended | | Year Ended | | Year Ended | |
| | December 31, 2005 | December 31, 2005 | June 30, 2005 | June 30, 2005 | December 31, 2004 | December 31, 2004 | December 31, 2003 | December 31, 2003 |
| | (In thousands) | (%) | (In thousands) | (%) | (In thousands) | (%) | (In thousands) | (%) |
| U.S. statutory rate | $ 10,175 | 35.0% | $ 10,562 | 35.0% | $ (44,576) | 35.0% | $ 38,985 | 35% |
| State income/franchise tax, net of federal benefit | 909 | 3.1% | 924 | 3.1% | (3,896) | 3.1% | 3,384 | 3% |
| Transaction costs not deductible | 466 | 1.6% | | | | | | |
| Permanent differences and other | (13) | — | 10 | 0.0% | (53) | 0.0% | 2,139 | 2% |
| Total tax expense (benefit) | $ 11,537 | 39.7% | $ 11,496 | 38.1% | $ (48,525) | 38.1% | $ 44,508 | 40% |

The effective tax rate in all periods is the result of the earnings in various domestic tax jurisdictions that apply a broad range of income tax rates. The provision for income taxes differs from the tax computed at the federal statutory income tax rate due primarily to state taxes, tax credits and other permanent differences. Future effective tax rates could be adversely affected if earnings are lower than anticipated, if unfavorable changes in tax laws and regulations occur, or if the Company experiences future adverse determinations by taxing authorities.

The components of deferred taxes are as follows (in thousands):

| Year Ended December 31, | Successor 2005 | Predecessor 2004 |
|---|---|---|
| **Deferred tax assets** | | |
| Accrued liabilities not currently deductible | $ 1,614 | $ 561 |
| AMT tax credit carryforward | — | 146 |
| Other reserves not currently deductible | 276 | — |
| Hedge activity | 31,093 | — |
| Net operating loss carryforward | 608 | 6,426 |
| **Total gross deferred tax assets** | 33,591 | 7,133 |
| Oil and Gas Basis Differences | (14,007) | (152,287) |
| Depreciation | (28) | (555) |
| **Total gross deferred tax liabilities** | (14,035) | (152,842) |
| **Net deferred tax assets (liabilities)** | $ 19,556 | $(145,709) |